

Case: Northgate Cycles

Northgate Cycles designs and assembles mid-range bicycles in a single factory, selling them through independent bike shops across the country. Its frames are welded in-house, while wheels, gears and brakes are bought in from three overseas suppliers.

Over the past two years, delivery delays from one gear supplier have twice halted the assembly line for several weeks. During the second stoppage, a rival brand with a wider supplier base captured several of Northgate's largest shop accounts, and only some of them have returned.

The operations director proposes outsourcing frame welding to a specialist manufacturer, which would cut costs per frame by roughly a fifth and free factory space for a new electric-bike line. The design team objects: they see their frame geometry and welding quality as what sets Northgate apart, and fear losing control of it.

Meanwhile, the sales team reports that customers increasingly research and buy online. Several shop owners say they would stock fewer Northgate models if the company began selling directly to consumers through its own website.

Senior management must decide how to make the supply chain more resilient, whether to outsource frame production, and how to grow online without damaging relationships with the shops that have carried the brand for years.